

5. Pricing/Cost Issues

Incorrect pricing strategies or high operational costs can erode profitability, making it difficult for startups to sustain and scale their business. Pricing mistakes, such as underpricing to attract customers or overpricing without delivering sufficient value, can significantly impact revenue generation. Additionally, high fixed and variable costs without efficient cost management can lead to unsustainable cash burn.

A notable example is Jet Airways, once India's leading airline, which suspended operations in April 2019 due to severe financial distress. The airline struggled with high debt, rising fuel costs, and an inability to compete with low-cost carriers offering budget-friendly fares. Despite attempts to secure emergency funding from lenders, Jet Airways failed to sustain its operations, leading to a complete shutdown. This case highlights the critical importance of strategic pricing, cost control, and sustainable financial planning for long-term success in any industry.



6. Product-Market Fit Failure

A product that fails to meet customer needs, lacks quality, or does not solve a real problem can struggle with adoption, leading to negative feedback, poor sales, and eventual failure. A strong product-market fit is crucial for success, as even well-funded companies can face challenges if their product does not align with consumer expectations.